

Marsh Supermarkets

Health & Beauty Care

BUMK770:Retail Analytics | Case Analysis | Monday, April 13, 2026

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01

Primary Role: Profit Generation

- Health and Beauty Care Dept. has high margins with strong ROI
- GMROI: 1.66 Annually
 - \$1.66 earned per \$1 invested
- Low perishability supports consistent profits

02

Secondary Role: Store Image & Convenience

- Reinforces one-stop shop experience
- Encourages customers to purchase across categories
- Reduces need for visiting competition

Health & Beauty Care: Strategic Role & Product Categories

03

Category Roles

- Profit Generators
 - Diet Supplements/Vitamins
 - Baby Products
- Sales Generators
 - Skin care, Hair care, Cosmetics, oral Hygiene

04

Strategic Execution

- Product Placement in high-traffic areas or near the pharmacy
- Eye-level & Seasonal Displays
- Shelf-Space Allocation Optimization

Health & Beauty Care: Strategic Role & Product Categories

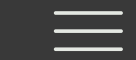
GMROII Comparison

(cost per unit)

Category	Weekly GMROII	Annual GMROII
Meat/Seafood	0.92	47.8
Deli & Bakery	0.75	39.0
Dairy	0.38	19.8
Frozen Foods	0.30	15.6
Grocery	0.21	10.9
General Merchandise	0.09	4.7
Health & Beauty	0.03	1.6

KEY TAKEAWAYS

- Large room for growth with Health and Beauty Care products for Marsh Supermarkets
- Grocery and Meat/ Seafood generate the most sales but COGS is relatively high for the Grocery Dept



Health & Beauty Care Departmental Analysis: Performance & Strategy

01 Profitability & Store Comparison

Primary Margin Protector: volume is lower than grocery, HBC maintains high gross margins (25-30%) and superior GMROI due to high-value, small-footprint items.

02 Profit Contribution vs. Basket Size: HBC represents a smaller portion of the weekly "basket" (~\$5 vs. \$15 grocery), but contributes disproportionately to net profit through lower overhead and higher markups.

03 Operational Challenges

Layout Inefficiencies: Exhibit 5 traffic maps identify "dead zones" where mission-driven shoppers bypass HBC; relocating closer to the "Power Perimeter" is essential to capture impulse buys.

04 Competitive Threats: To combat "Category Killers" (Wal-Mart/Phar-Mor), Marsh must leverage its convenience advantage and rationalize inventory to reduce SKU proliferation and bloating.





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Baby Prep

Products, Shelving, Inventory

Highest GMROI, low shelf space, high inv. turns



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Diet Aids

Products, Shelving, Inventory

Highest GMROI, low shelf space, high inv. turns



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Cosmetics

Shelving & Inventory

Highest shelf space and DOS, lowest weekly sales & GMROI



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Foot Care

Shelving & Inventory

Low % total sales, DPPROI, GMROI and high DOS

Thank You!

